

Performance Management Policy

NovaPack Sdn Bhd

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Approved by: Chief Human Resources Officer

Classification: Internal Use Only

1. Purpose

This policy establishes the framework for managing employee performance at NovaPack Sdn Bhd. It sets out the standards, processes, and responsibilities for conducting performance reviews, addressing underperformance, and supporting employees in achieving their full potential in alignment with the Company's business objectives.

2. Scope

This policy applies to all confirmed employees of NovaPack Sdn Bhd. Employees on probation are subject to the Probation Management Policy (HR-POL-002) and are excluded from this policy. Contract employees are subject to the terms of their individual contracts.

3. Performance Review Cycle

3.1 Annual Performance Review

NovaPack conducts a formal performance review annually, covering the period from 1 January to 31 December. The review is completed by 28 February of the following year. The review process consists of the following stages.

- Employee Self-Assessment: The employee completes a self-evaluation of achievements, challenges, and development needs by 15 January.
- Manager Assessment: The line manager evaluates the employee against agreed KPIs and competencies by 31 January.
- Calibration: Department Heads and HR calibrate ratings across teams to ensure consistency and fairness by 15 February.
- Review Discussion: The line manager conducts a formal one-on-one review discussion with the employee by 28 February.
- Sign-off: Both the line manager and employee sign the completed Performance Review Form (HR-FORM-015).

3.2 Mid-Year Check-In

A structured mid-year check-in is conducted between 1 July and 31 July. This is not a formal rating exercise but serves to review progress against KPIs, adjust objectives where business circumstances have changed, and identify any early performance concerns requiring attention. The mid-year check-in is documented on the Mid-Year Progress Form (HR-FORM-016) and retained on the employee's HR file.

4. Performance Rating Scale

NovaPack uses a five-point rating scale applied uniformly across all departments.

Rating	Label	Description
5	Exceptional	Consistently exceeds all KPIs and competency expectations. Demonstrates exemplary contribution to team and Company goals.
4	Exceeds Expectations	Achieves all KPIs and frequently surpasses targets. Demonstrates strong competency in all areas of the role.

Rating	Label	Description
3	Meets Expectations	Achieves most KPIs and meets the core competency requirements of the role. Performance is at the expected standard.
2	Below Expectations	Partially meets KPIs. Performance falls short of the expected standard in one or more significant areas. Improvement is required.
1	Unsatisfactory	Fails to meet KPIs and does not demonstrate the competency requirements of the role. Immediate and sustained improvement is required.

5. PIP Trigger Criteria

A Performance Improvement Plan (PIP) shall be initiated in the following circumstances.

- The employee receives a rating of 2 (Below Expectations) or 1 (Unsatisfactory) at the Annual Performance Review.
- The employee's mid-year check-in identifies a material risk of failing to meet year-end KPIs, and prior informal coaching has not produced sufficient improvement.
- The line manager, with HR's endorsement, identifies a sustained performance gap that has been documented through at least two written communications to the employee.

A PIP is a performance management tool and is not a disciplinary action. It shall not be placed on the employee's disciplinary record. Where an employee's conduct is also a concern, the line manager must consult HR to determine whether the matter should be managed under the Disciplinary and Termination Policy (HR-POL-003) separately or concurrently.

6. Roles and Responsibilities

6.1 Line Manager

- Sets clear, measurable, and achievable KPIs at the start of each review cycle.
- Conducts mid-year check-ins and documents outcomes.
- Provides ongoing coaching and feedback throughout the year.
- Initiates PIP recommendation in consultation with HR where performance concerns arise.
- Conducts PIP review meetings and documents outcomes.

6.2 Human Resources

- Provides guidance to line managers on the performance management process and PIP procedures.
- Reviews all PIP initiation requests before they are issued to employees.
- Maintains employee performance records in the HR Information System.
- Advises on legal and procedural compliance throughout the process.
- Escalates persistent performance cases to the Head of HR where termination may be considered.

6.3 Employee

- Participates actively and in good faith in performance reviews and mid-year check-ins.
- Raises concerns about KPI targets or review outcomes through the proper grievance channel (HR-POL-008).
- Cooperates with the PIP process if initiated, including attending review meetings and completing assigned development activities.

7. Appeals

An employee who disagrees with their performance rating may raise a formal appeal in writing to the Head of HR within 10 working days of receiving the signed Performance Review Form. The Head of HR will convene a review panel consisting of the Department Head and an independent HR representative. The panel's decision is final and will be communicated to the employee within 15 working days of the appeal being lodged.

8. Confidentiality

All performance review documentation is strictly confidential and is accessible only to the employee, the line manager, the Department Head, and the HR team. Performance ratings shall not be disclosed to other employees.

9. Governing Law and References

- Industrial Relations Act 1967 (Act 177), Malaysia
- Employment Act 1955 (Act 265), as amended 2022
- NovaPack PIP Template and Guidelines (HR-FORM-017)
- NovaPack Disciplinary and Termination Policy (HR-POL-003)
- NovaPack Grievance Policy (HR-POL-008)

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